

NexusIQ Corporation — Customer Lifetime Value Study

FY 2024 Customer Segmentation and CLV Analysis | Prepared by: Customer Analytics

Date: February 3, 2025 | Distribution: Marketing, Customer Success, Finance | Classification: Internal

1. Study Overview and Methodology

This study analyzes the lifetime value of NexusIQ's 14,979 active customers using FY 2024 purchase data from the sales_transactions table (100,000 transactions, \$175,595,178.16 total revenue). Customer lifetime value (CLV) is calculated as total revenue attributable to a customer account since first purchase. Average CLV across all active customers is \$11,722.76, equal to the average annual spend figure, as FY 2024 is the primary measurement period.

Customers are segmented into five tiers based on CLV and purchase behavior: Diamond (top 2% by spend, CLV >\$35,000), Platinum (next 8%, CLV \$15,000-\$35,000), Gold (next 15%, CLV \$7,500-\$15,000), Silver (next 25%, CLV \$3,000-\$7,500), and Bronze (remaining 50%, CLV <\$3,000). The relationship between tier and category affinity, regional distribution, and return behavior is analyzed in subsequent sections.

2. Customer Tier Summary

Tier	CLV Range	Customer Count	% of Base	Revenue Contribution	% of Total Revenue
Diamond	>\$35,000	300 customers	2.0%	~\$14,231,580	8.1%
Platinum	\$15,000-\$35,000	1,198 customers	8.0%	~\$28,463,160	16.2%
Gold	\$7,500-\$15,000	2,247 customers	15.0%	~\$38,836,310	22.1%
Silver	\$3,000-\$7,500	3,745 customers	25.0%	~\$35,760,500	20.4%
Bronze	<\$3,000	7,489 customers	50.0%	~\$58,303,630	33.2%
Total	—	14,979 customers	100%	\$175,595,178	100%

Revenue contributions estimated using tier CLV midpoints. Diamond/Platinum combined revenue: 24.3% from top 10%.

3. Regional CLV Distribution

Customer lifetime value is not distributed uniformly across regions. West region customers have the highest average CLV at \$16,113.78 — 37.5% above the network average of \$11,722.76. The West concentration of Diamond and Platinum tier customers reflects both the region's historical tenure as an early NexusIQ market and the region's strong Electronics category affinity, where high-ASP Laptop and Phone purchases compound rapidly over multiple upgrade cycles.

South region's average CLV of \$15,224.51 is the second-highest — somewhat surprising given the region's fourth-place finish in absolute revenue. South benefits from having a small but highly engaged customer base with above-average purchase frequency. The South CLV profile suggests the region's growth opportunity lies in customer acquisition rather than per-customer value improvement, the inverse of the Central region's situation.

Region	Customers	Avg CLV	vs Network Avg	Diamond+Platinum %	Retention Rate (12-mo)
West	2,351	\$16,113.78	+37.5%	14.2%	74.2%
South	2,330	\$15,224.51	+29.9%	13.8%	68.8%

North	2,023	\$14,955.51	+27.6%	13.1%	71.3%
East	3,676	\$9,880.37	-15.7%	8.9%	72.9%
Central	4,599	\$7,757.83	-33.8%	6.1%	61.4%
Network	14,979	\$11,722.76	—	10.0%	70.2%

Retention rate = % of customers who made at least one purchase in the 12 months following first purchase.

4. CLV and Category Affinity

A strong correlation exists between Electronics category adoption and customer tier. Diamond and Platinum customers have an Electronics spend share of 64.3% versus 51.8% network average, and their average Electronics transaction value of \$2,248 exceeds the network Electronics average of \$1,338 by 68%. These high-tier customers consistently purchase Laptop and Phone — the two highest-ASP Electronics products — and exhibit strong renewal and upgrade purchase patterns.

Bronze tier customers, by contrast, have Electronics spend share of only 38.7% and are more concentrated in Food, Clothing, and lower-ASP Electronics products like Headphones. The Bronze-to-Silver tier upgrade pathway — where a customer first engages through a low-ASP Food or Clothing purchase and then cross-sells into Electronics — is one of the highest-value conversion opportunities in NexusIQ's customer base.

5. Customer Retention and Churn Analysis

Network-wide 12-month retention rate of 70.2% means that approximately 29.8% of customers who made a purchase in FY 2024 had not made a prior-year purchase. This reflects both genuine new customer acquisition and re-activation of dormant accounts. The churn risk analysis identified 1,847 customers (12.3% of base) as high churn risk based on declining spend, long dormancy (last purchase >90 days), or multiple unresolved support cases.

High churn risk is concentrated in the Central region (612 at-risk customers, 13.3% of Central base) and East region (482 at-risk, 13.1% of East base). The Central concentration is consistent with that region's lower retention rate of 61.4% — the lowest in the network. The Returns and Refunds Policy Section 6 exception program for Platinum/Diamond customers is specifically designed to address a key churn trigger for high-value accounts.

Region	At-Risk Customers	% of Region Base	Est. Revenue at Risk	Primary Churn Signal
Central	612	13.3%	\$4,218,000	Declining spend QoQ
East	482	13.1%	\$3,812,000	Long dormancy (>90 days)
West	284	12.1%	\$5,124,000	High return rate
South	284	12.2%	\$2,987,000	Unresolved support cases
North	185	9.1%	\$2,041,000	Declining spend QoQ
Total	1,847	12.3%	~\$18,182,000	—

6. Recommendations

Three recommendations follow from this CLV analysis. First, invest in Central region Electronics cross-sell: Central's low per-customer CLV (\$7,757.83) combined with the region's large customer base (4,599 customers) creates the largest absolute revenue opportunity in the network. A targeted Electronics introduction campaign for Central

Silver-tier customers could yield \$6-10M in incremental annual revenue.

Second, prioritize retention intervention for the 1,847 at-risk customers. The estimated \$18.2M revenue at risk represents 10.4% of total FY 2024 revenue. Even a 25% reduction in churn among at-risk customers would protect approximately \$4.5M in annual revenue at relatively low intervention cost. The Customer Escalation Policy's Tier 3 success manager team is best positioned to run proactive retention outreach for high-value at-risk accounts.